FY 2022

Investor Briefing

April 2023

ncbagroup.com

Go for it

CONTENTS

CONTENTS

Our Group Structure

NCBA GROUP PLC

- **BANKING SUBSIDIARIES**
  - NCBA BANK KENYA PLC
  - NCBA BANK RWANDA PLC
  - NCBA BANK UGANDA LTD
  - NCBA BANK TANZANIA LTD
  - DIGITAL BANKING
- **NON BANKING SUBSIDIARIES**
  - NCBA LEASING LLP
  - NCBA INVESTMENT BANK LTD
  - NCBA INSURANCE AGENCY
  - NIC PROPERTIES LTD

Our Purpose and Values

OUR PURPOSE

To be the Financial Services Partner that Inspires Your Growth

OUR VALUES

DRIVEN

OPEN

RESPONSIVE

TRUSTED

OUR CUSTOMER PROMISE

At NCBA, our customers are at the heart of everything we do – we are driven by our promise to offer exceptional innovative products and services that are tailored to our customers' specific needs, from personal banking products to scalable business banking solutions that grow as your business does.

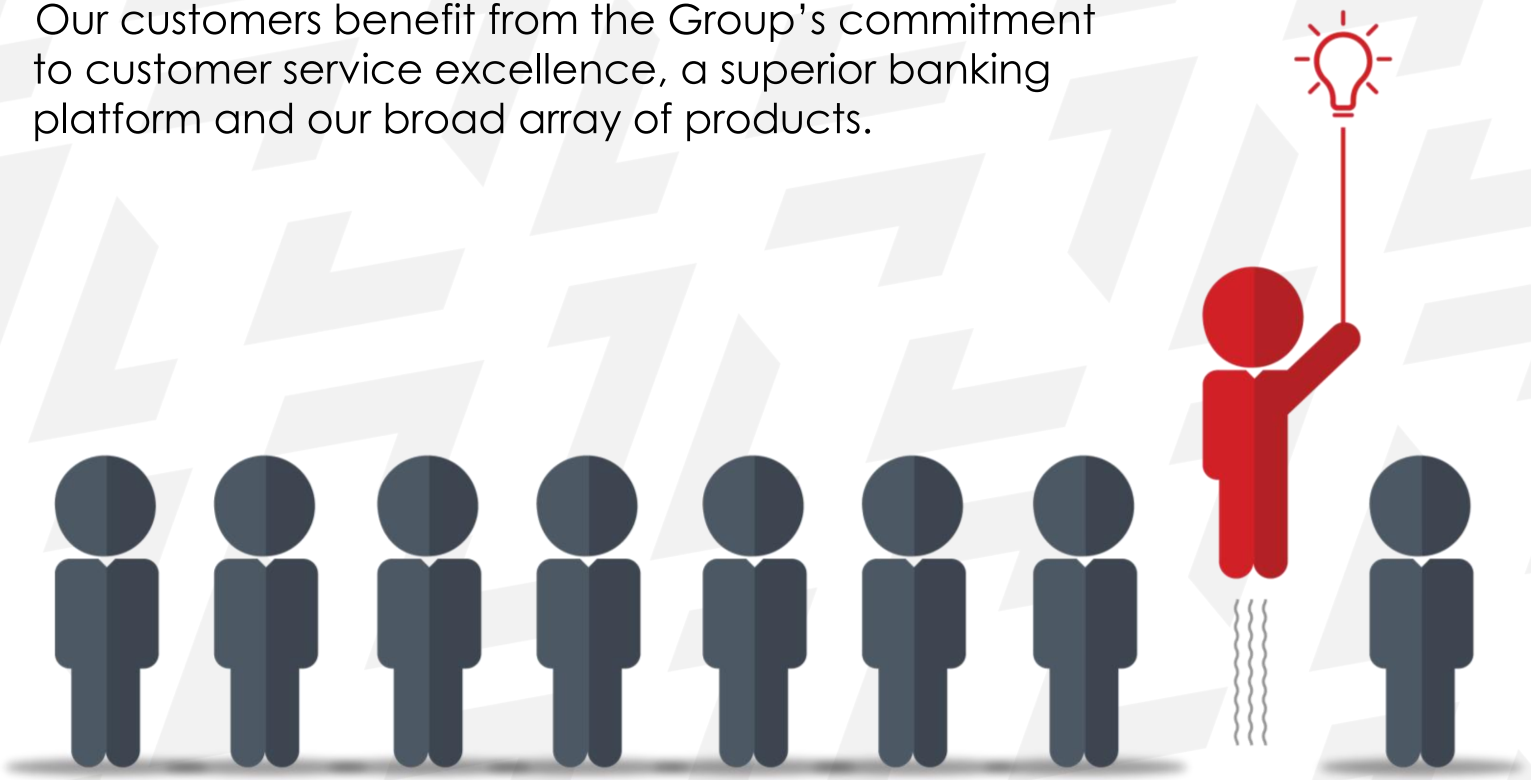
Welcome to the bank that says go for it.

Welcome to the bank that banks on your ambition.

Welcome to NCBA

What Makes Us Different

Our customers benefit from the Group's commitment to customer service excellence, a superior banking platform and our broad array of products.

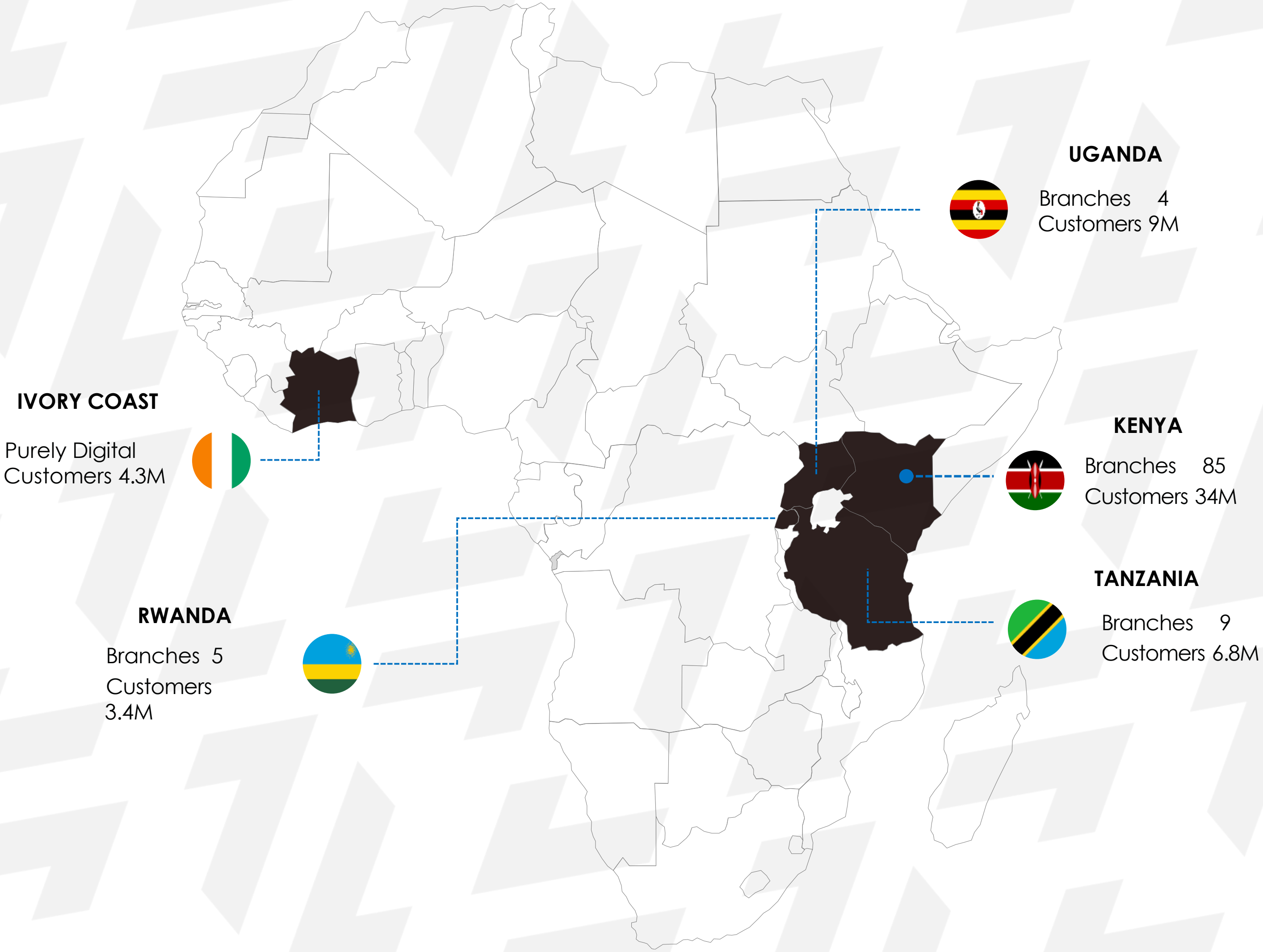


- Customer Centric Culture
- Integrated Core Banking Platform
- Strong Relationship Management
- Digital Leadership
- Innovative and bespoke products
- Best-in-class Turn Around Times
- Data driven Personalized Service
- Value Added Services
- Regional Market Presence

Enabling customers to bank, borrow, spend, save and invest.

WHO WE ARE

Our Regional Footprint



KEY GROUP HIGHLIGHTS

CUSTOMERS
> 60M

STAFF
3,022

BRANCHES
103

ATMs
93

CASH DEPOSIT MACHINES
86*

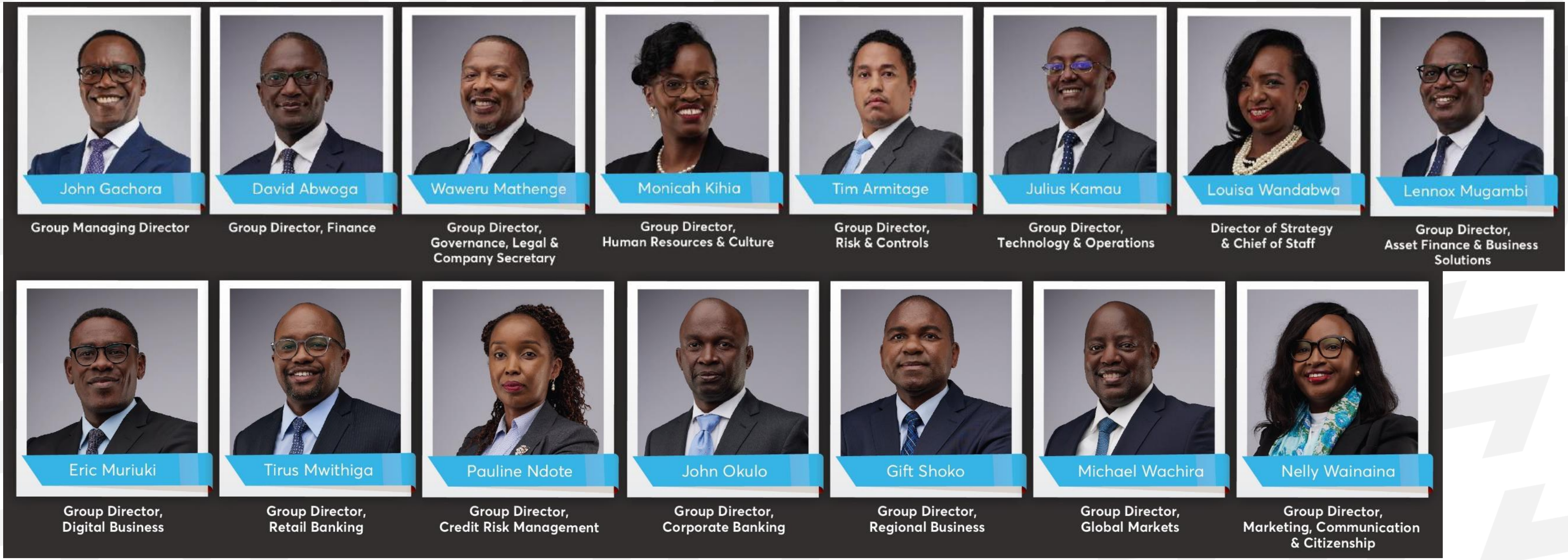
DR & CR CARDS
190K+

* 52 Corporate CDMs

2022 Awards & Accolades

- **3rd Best in Customer Experience (Tier 1)** - Kenya Bankers Association
- **Among Top 10 Most Valuable Brands** in Kenya - Brand Finance
- **Best Bank in Kenya** 2022 - Global Finance magazine
- **Best Bank in Kenya** 2022 - Abojani Investments
- One of Kenya's **Top 5 best workplaces** to grow your career - LinkedIn
- **Most Preferred Asset Finance Bank** in Kenya - Annual Road Safety Awards
- **Preferred Bank in Asset Finance** - Transport & Logistics Excellence Awards
- **Best Digital Bank** in Tanzania - Global Banking and Finance Review.
- **2nd Runner Up Corporate Legal Department** - Nairobi Legal Awards (NALA)
- **Winner, Finance and Investment Sector Category** - Nairobi Legal Awards (NALA)

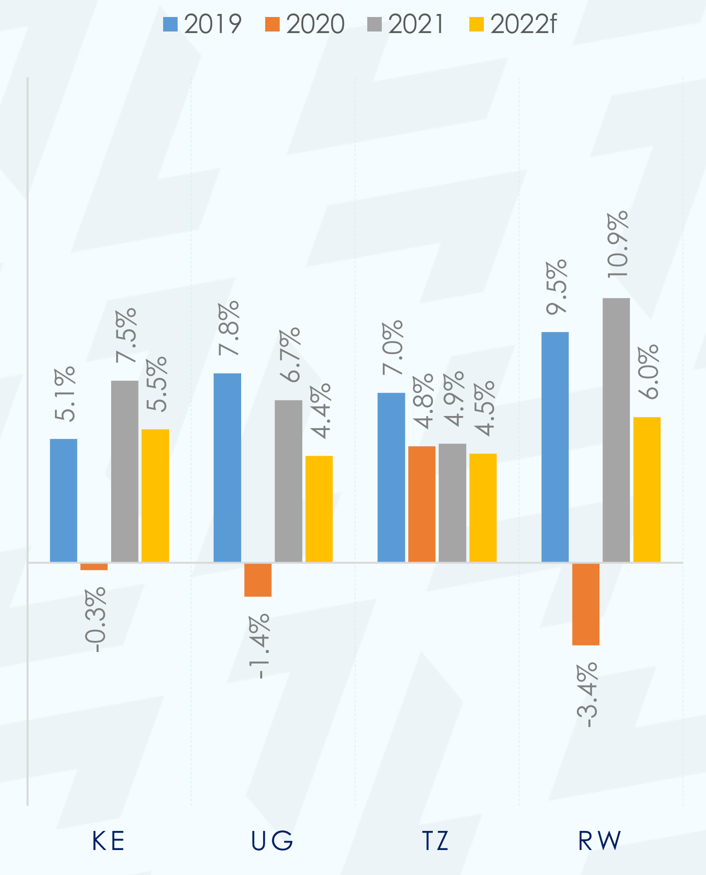
We are led by an exceptional team which has ensured we deliver on post-merger promises and has demonstrated resilience in managing our business



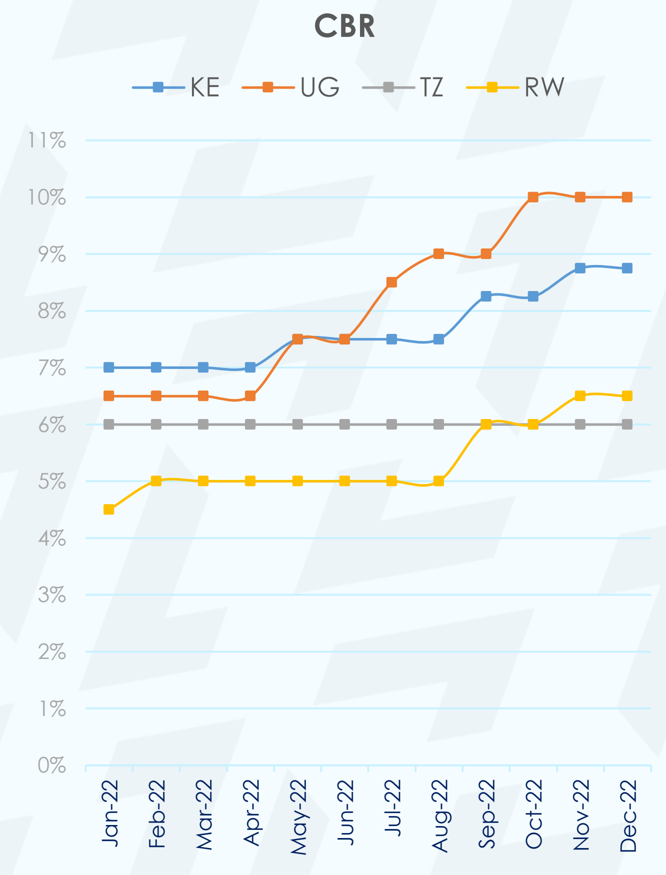
CONTENTS

Global headwinds result in currency depreciation and increase in interest rates

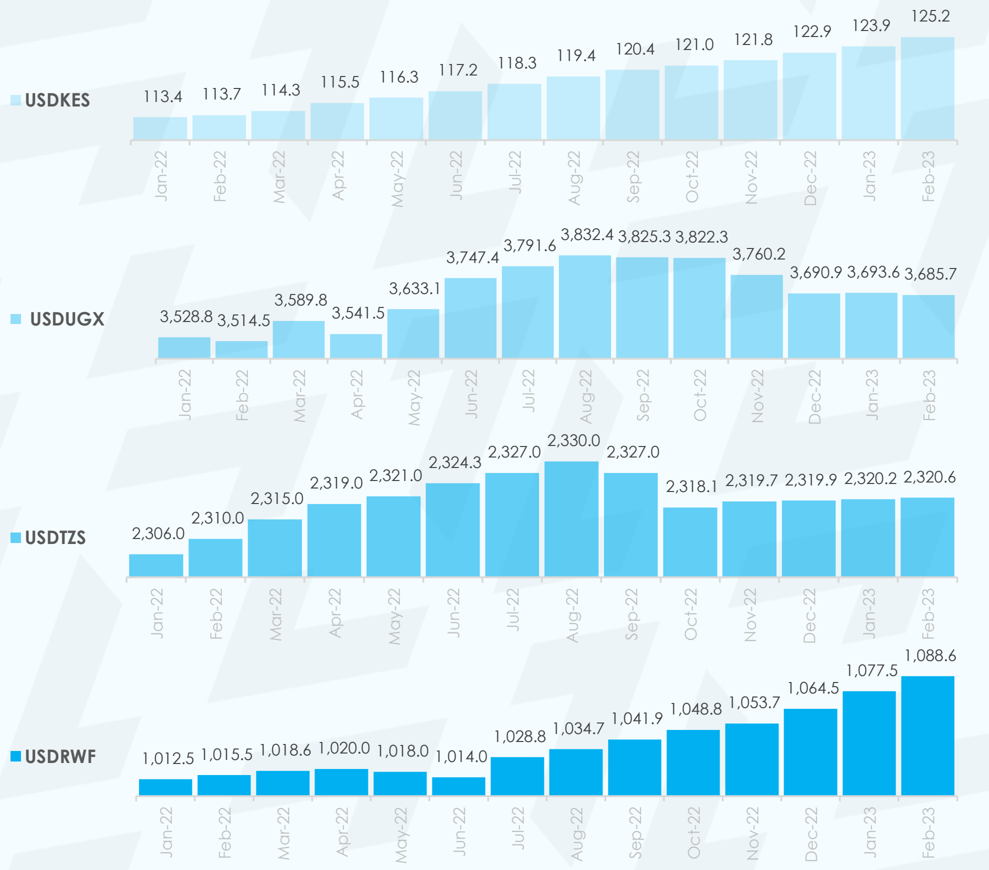
GDP: Growth prospects continue to be undermined by debt sustainability concerns



Central Banks in tactical "wait and see" - Tighter monetary policy stance is expected in the first half of 2023



Regional currencies continue to roil under pressure - Sustained demand for USD continues to ravage KES, UGX, TZS and RWF.



CONTENTS

Our 5 Strategic Priorities: 2020 - 2024

1 Become a Distinguished Brand Known For Customer Experience

2 Scale Retail Banking: Expand Distribution

- Thoughtfully grow our retail footprint to increase customer accessibility and gain relevance

3 Deepen Leadership in Corporate Banking & Asset Finance

- Build industry expertise in key growth sectors
- Diversify and differentiate our Products
- Develop strategic partnerships with key enablers

4 Digital Transformation

- Digitize the core bank
- Reposition & scale Loop
- Develop a Fintech to capture new markets & opportunities

5 Develop a High Performance Employee Culture

Increase Shareholder Value

Strategic Roadmap

Our phased approach allows us to invest in our growth agenda anchored on a solid organizational foundation.

We are Here

A
Integrate our Endowments
Q3 2019 – Q3 2020

B
Survive the Unexpected Turbulence Due To COVID-19
Q2 2020 – Q3 2020

C
Deploy the Operating Model of the Future
Q3 2020 – Q1 2021

D
Implement 5 Strategic Priorities
2021-2024

PHASE 1:
Foundational Building Blocks

PHASE 2:
Strategy Implementation

Positive performance across key financial metrics for the Group as we execute our 2020 – 2024 strategy

- **Become a Distinguished Brand Known For Customer Experience**
- **Scale Retail Banking: Expand Distribution**
- **Deepen Leadership in Corporate Banking & Asset Finance**
- **Digital Transformation**
- **Develop a High Performance Employee Culture**

	2020	2022
PBT	4.97	22.5
ROAE	6.6%	17.2%
NPL Ratio	14.0%	12.7
CIR	42%	42%
Capital Adequacy (Total)	17.9%	18.4%
Cost of Risk	7.4%	4.2%

Our diversified business model is demonstrating growth and resilience

PBT (KES M)

Core Banking Segment

	2020	CAGR	2022
Kenya	3,097	>100%	18,112
Tanzania	84	<100%	(1,678)
Uganda	(372)	>100%	112
Rwanda	(174)	>100%	237
Total	**2,635**	>100%	**16,783**

Non Banking Subsidiaries

	2020	CAGR	2022
Investment Bank	216	+33%	382
Insurance Agents	251	(20)%	160
Leasing LLP	91	+7%	104
Total	**558**	+8%	**646**

Group Performance Highlight

PBT

KES 22.5B

CAGR 113%

Period in Review 2020 - 2022

Digital Banking

	2020	CAGR	2022
Digital Business (KE)	2,277	+31%	3,919
Loop DFS	(5)	>100%	65
Digital Ghana	N/A		(21)
M-Pawa (TZ)	(761)	>100%	113
Mokash (UG)	142	>100%	614
Mokash (RW)	66	>100%	315
Total	**1,719**	+71%	**5,005**

Our bigger and smarter retail network is delivering tangible balance sheet growth

Growing Branch Network

Branches: **103** (2022) *104 in 2021* → **118** (2023)

Counties Present: **22** (2022) *15 in 2021* → **36** (2023)

More Cost Efficient Branches

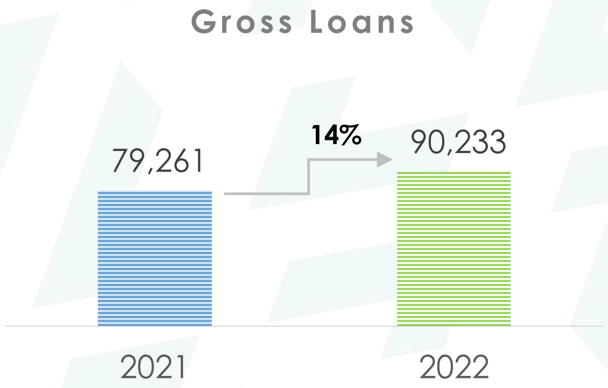
33%
Smaller branches
Average Branch Size (Sqft) 1,653 from 2,434

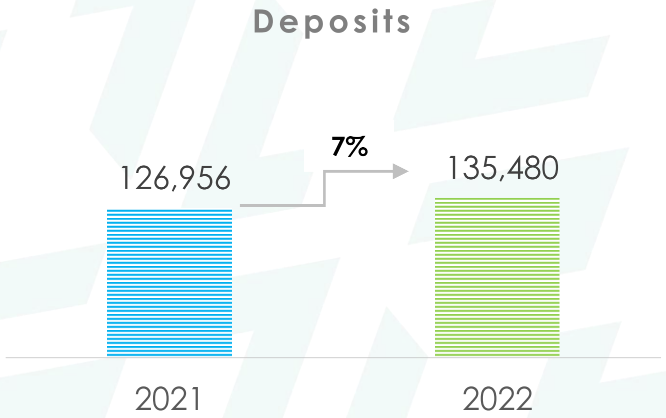
59:41
CASA ratio *(74:26 for new branches)*

Larger Customer Base

10%
Growth in Retail Customer Base(Kenya)
236K (2021) - 260K (2022)

KE Retail Banking Balance sheet (KES M)





Our unique combination of heritage and innovation in Corporate Banking has allowed us to continue to grow our business and market share

Bigger & More Skilled Relationship Management Team

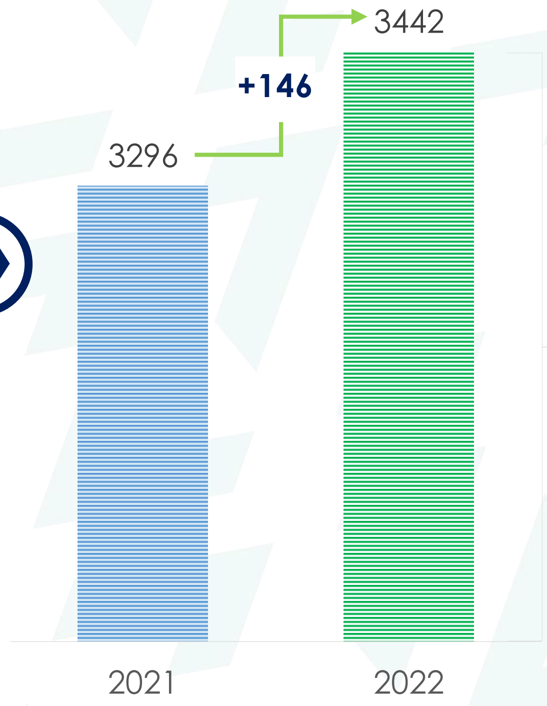
- Better corporate customer growth outcomes in 2022 **following reorganization** to develop sectoral expertise

Relationship managers as % of the total staff complement

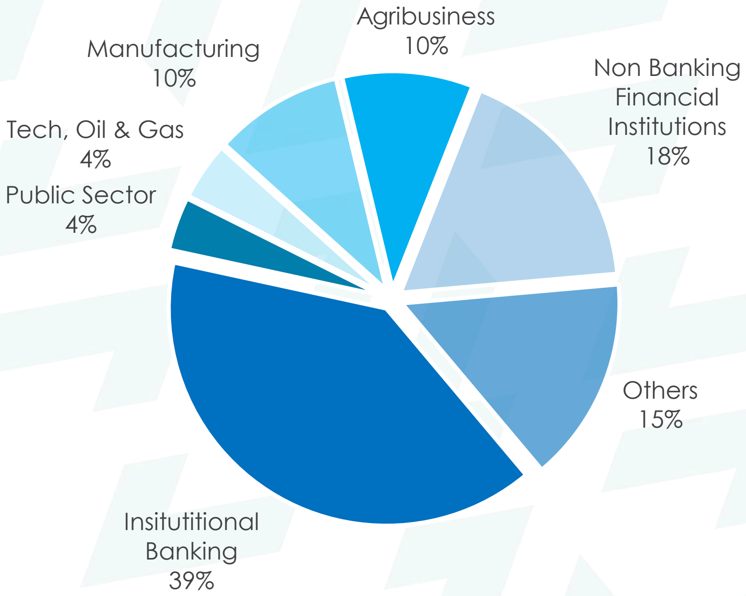
64% *(2022)*

33% *(2021)*

Changes in Corporate customers



#Corporate Customers by Sector



We have maintained 60 years of market leadership in Asset Finance by relentlessly innovating; we are now leaning forward to fund the transportation models that address our pressing climate risk issues

We have increased our distribution network

Distribution Schemes[1]

6 (2021) → **15** (2022)

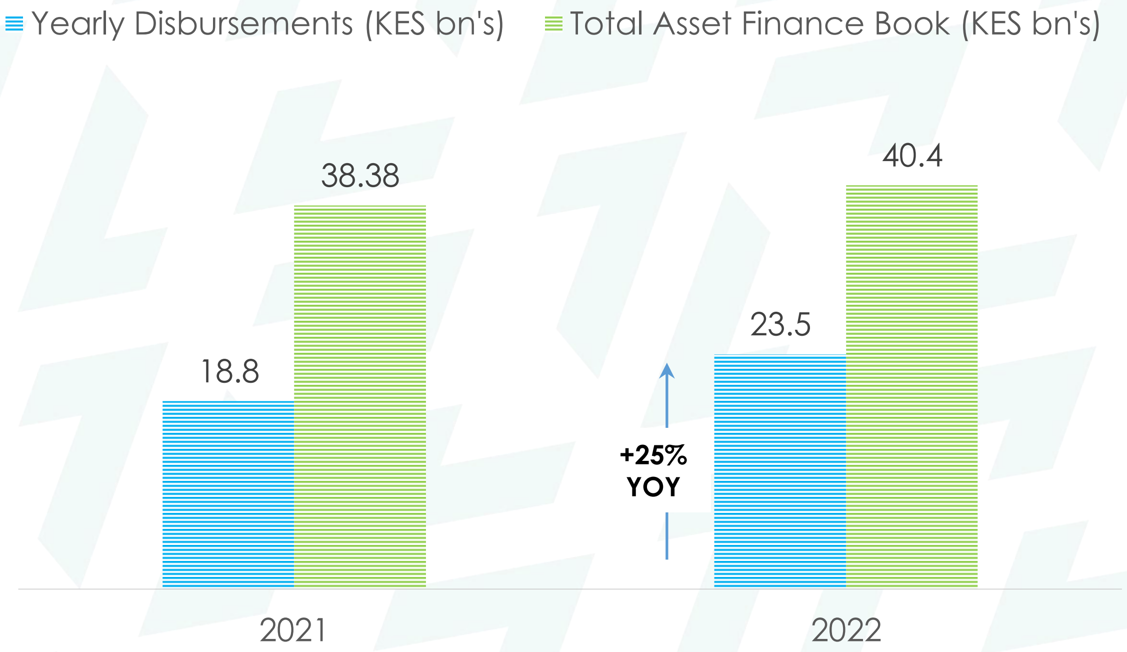
1st to provide **electric vehicle financing.**

Set aside KES 2Bn towards financing of electric vehicles

Reduced **conditional approval process** to 15 seconds

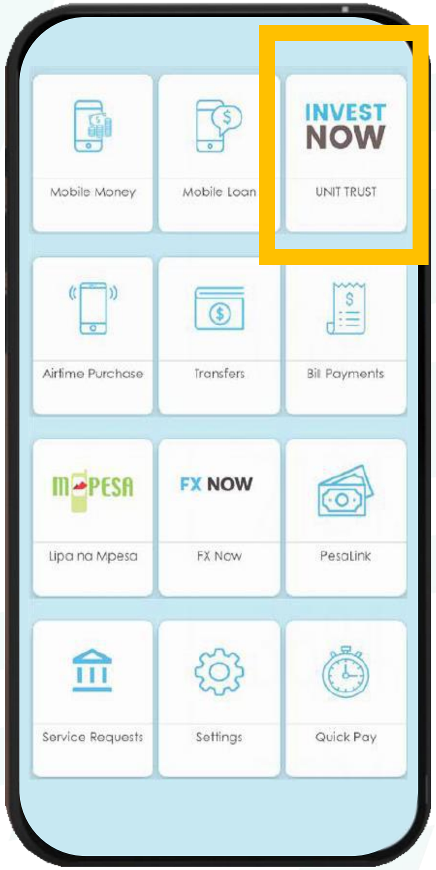
36%

Market Share (33% 2021)



Notes:
1: Distribution schemes denote partnerships with corporates where we offer solutions to their ecosystem of stakeholders including customers and employees

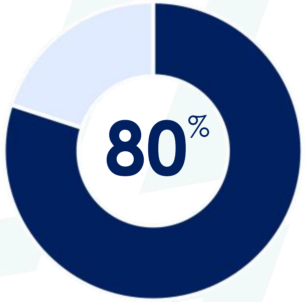
We consolidated our mobile banking applications into a unified platform and the **NCBA Mobile Banking app is one of the highest rated in Kenya**



2022 Channel Enhancements

- ✓ Silent OTP - removed reliance on Telcos for SMS delivery
- ✓ Pesalink enhancement
- ✓ Expressway service upload
- ✓ Automated FX counter rates
- ✓ Customizable menus
- ✓ Transaction advices & messaging
- ✓ **Invest NOW**
- ✓ WhatsApp link to contact options
- ✓ USSD security questions

	2020	Δ%	2022
App Rating *(on Google Play Store 3.4 avg Peer rating)*	3.7	30%	4.8
Mobile Banking			
6 Month active Customers ('000)	34	>100%	82
Transaction Volume (M)	3.2	>100%	7.6
Transactions Value	Kes 46.9B		Kes 116.6B



of payment transactions processed through mobile banking (2022)

We pioneered organized digital mobile money solutions and have enhanced financial inclusion for 60mn customers across Sub Saharan Africa…

Our Contribution to Financial Inclusion

- Designed the regulatory model that birthed mobile money.
- Anchor settlement bank for M-Pesa.
- Designed and operates mobile lending in the region including Mshwari, MoKash, Momo Kash, Loop, Stawi

2006
with Safaricom for their launch of the **M-Pesa** service

2012
with Safaricom to launch **M-Shwari**

2014
with Vodacom to launch the **M-Pawa** service

2016 - 2017
with MTN to launch **MoKash** and **MoMoKash**

2018
Launched **LOOP** a fully integrated digital banking platform

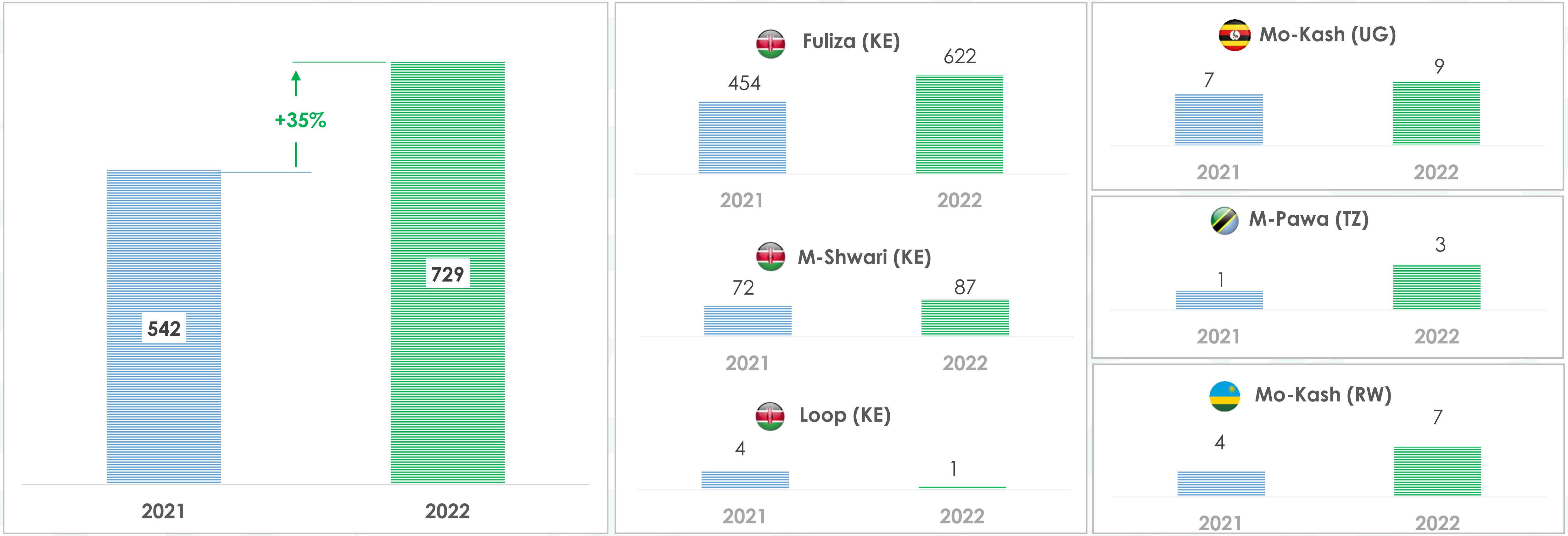
2019
with Co-op, KCB & DTB banks to launch the **Stawi** service

with Safaricom to launch **Fuliza** service (an overdraft facility)

2020
with MTN to launch **MoMo Advance**

…we are continuing to grow our digital disbursements while diversifying our business across the region

Evolution of digital disbursements (KES B)



Significant improvement in our key customer experience metrics as we make intentional investments to drive our customer promise - to **Know You, Back You and Wow You**

Know Me

- Intentional Customer Journey Design
- Reinforce CX Leadership & Culture
- Customer Engagement

Back Me

- Credit Access

Wow Me

- Digital Channel Experience
- Contact Center Transformation
- Branch Experience

	2020	Δ%	2022
NPS Overall	40	>100%	80
Product NPS	55	+13%	62
Customer Satisfaction	85%	+11%	94%
Brand Power	4.7		5.4

While the Group has grown in size (3,022 staff as of FY 2022), we have maintained our market leadership in productivity and provided growth opportunities for our colleagues

Strategic Thrusts

- Build Capacity
- Robust Enterprise Performance Management
- Competitive Rewards & Recognition
- Employee Wellness

Building Capacity: 2022 Outcomes

486 Appointments / promotions

30 Interns converted into entry level roles

	2020	2022
No. of Staff	2,392	3,022
Staff Cost Intensity (1)	16.9%	17.3%

Recognition: 5th Best employer by LinkedIn (2022)

1: Staff Cost Intensity calculated as Staff costs vs. Operating Income

We are building on our strengths & re-tooling our business to move towards a more sustainable future for ourselves and our communities

Current Endowments

Gender	Equal opportunity partner	51%	Female Staff Complement 2022
Environment	Tree planting & seedling distribution program	20,800	Trees planted in 2022
Financial Inclusion	Provision of mobile based financing solutions	60mn	Digital customers 2022
Green financing	Electric vehicle financing	KES 2Bn	Loan Portfolio

Digital customers 2022:

- Kenya: 33.9M
- Uganda: 9M
- Tanzania: 6.8M
- Ivory Coast: 4.3M
- Rwanda: 3.4M

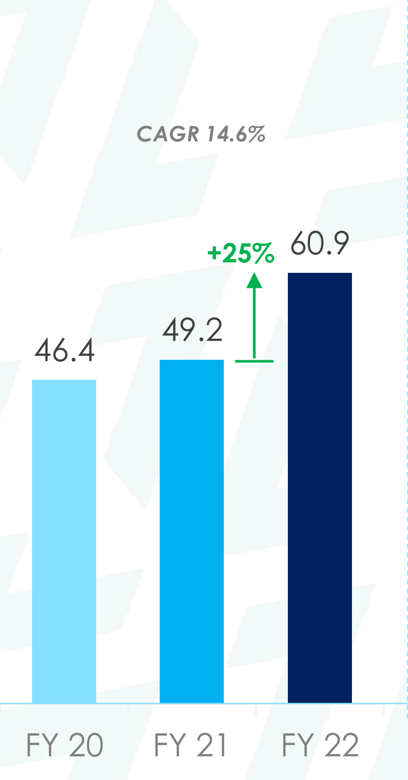
CONTENTS

Our Group continues to demonstrate strong fundamentals with positive CAGR over the strategy period

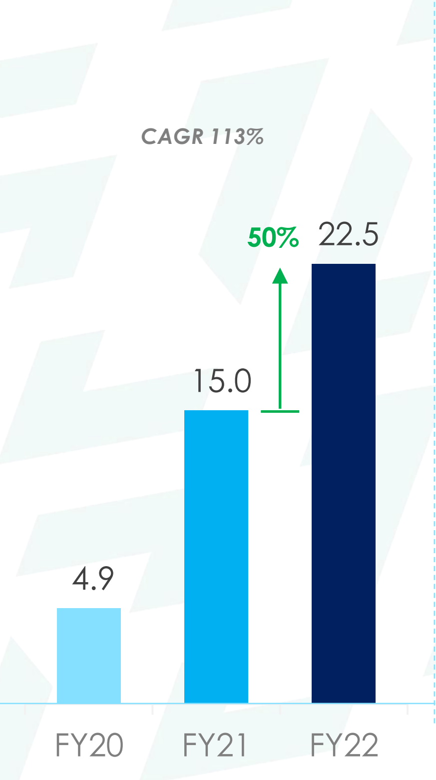
Amounts in KES B

Income Statement

Total Income

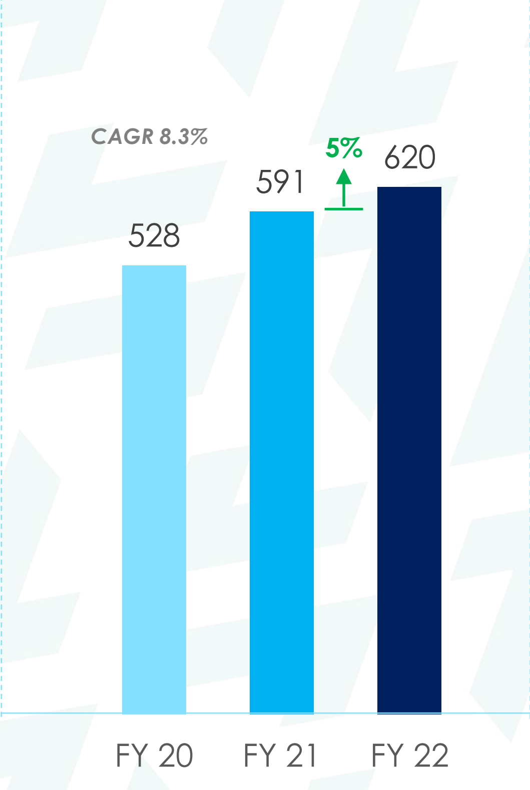


PBT

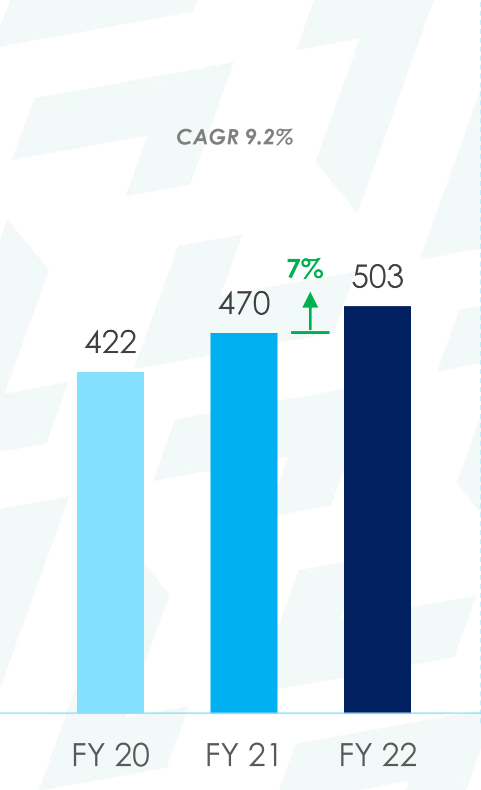


Balance Sheet

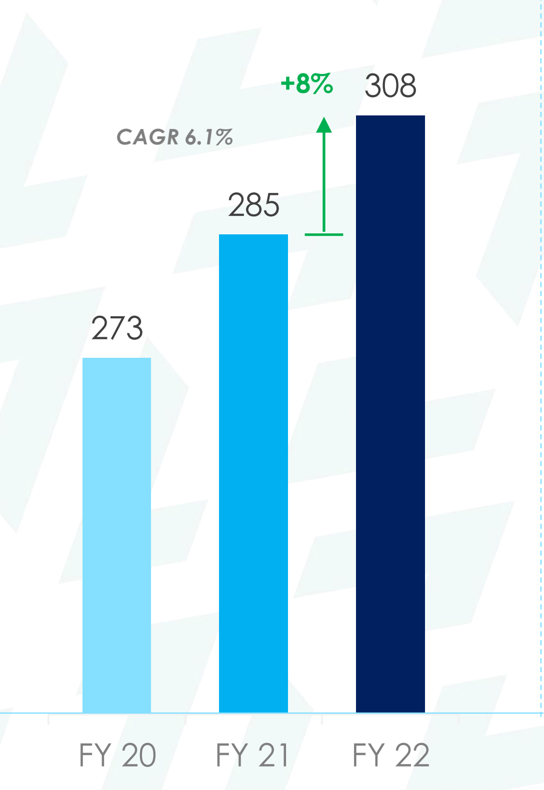
Total Assets



Customer Deposits

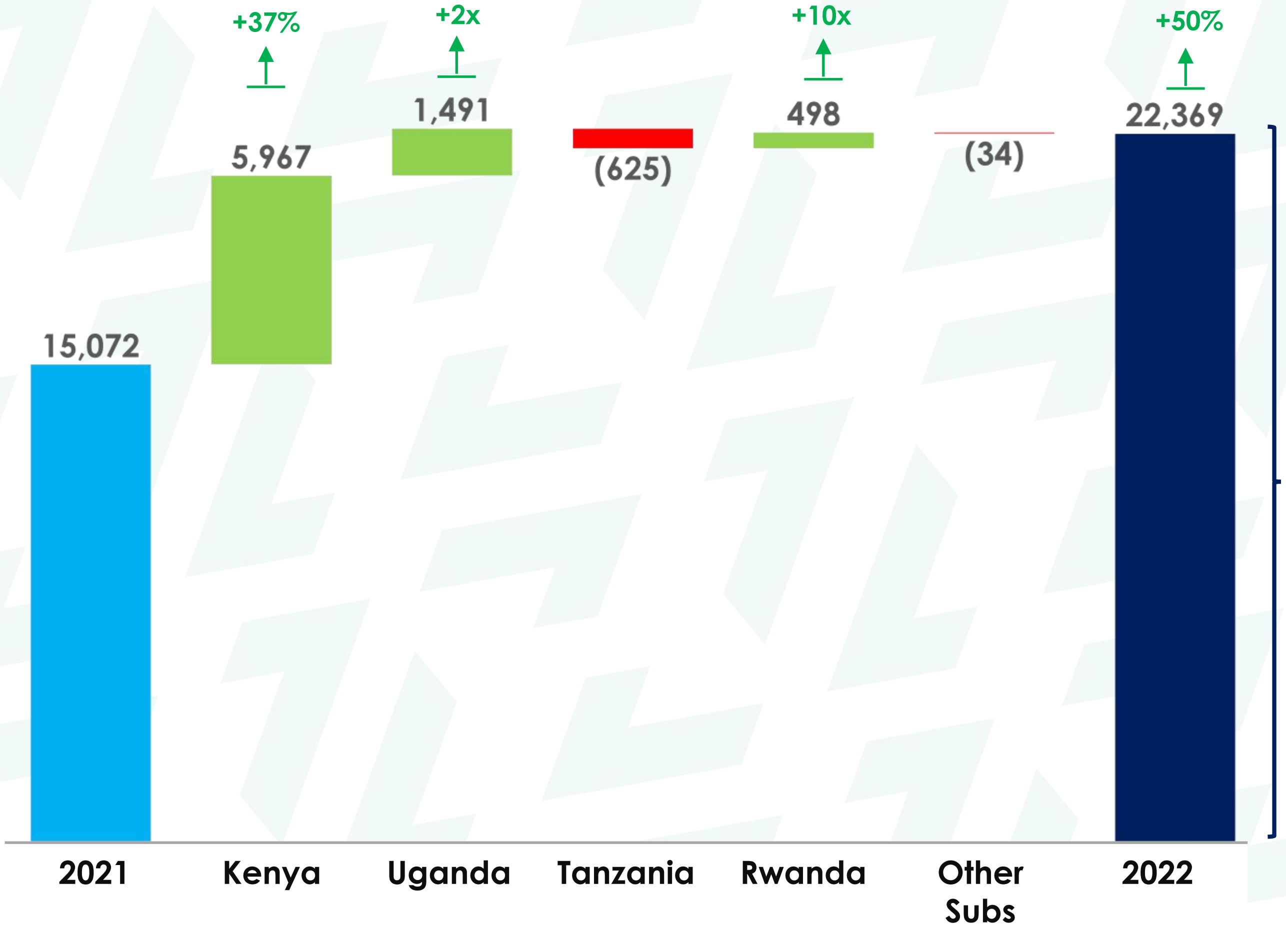


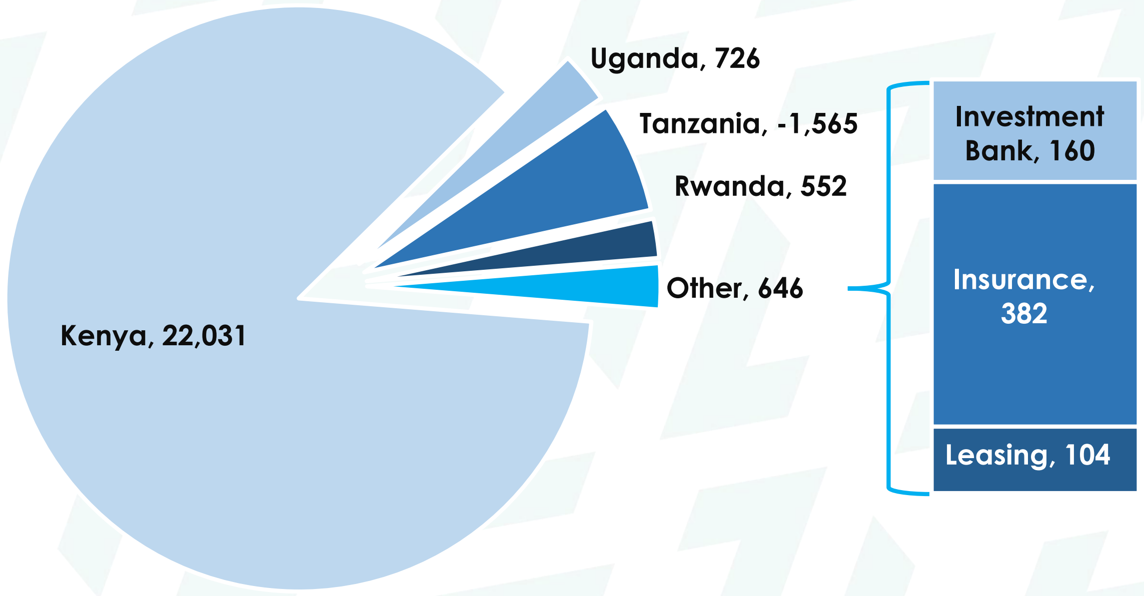
Gross Loans



Significant year on year profitability growth in our Kenya, Uganda and Rwanda Businesses. Tanzania loss making position has been stabilized with expectation of positive turnaround in 2023

PBT (KES B)

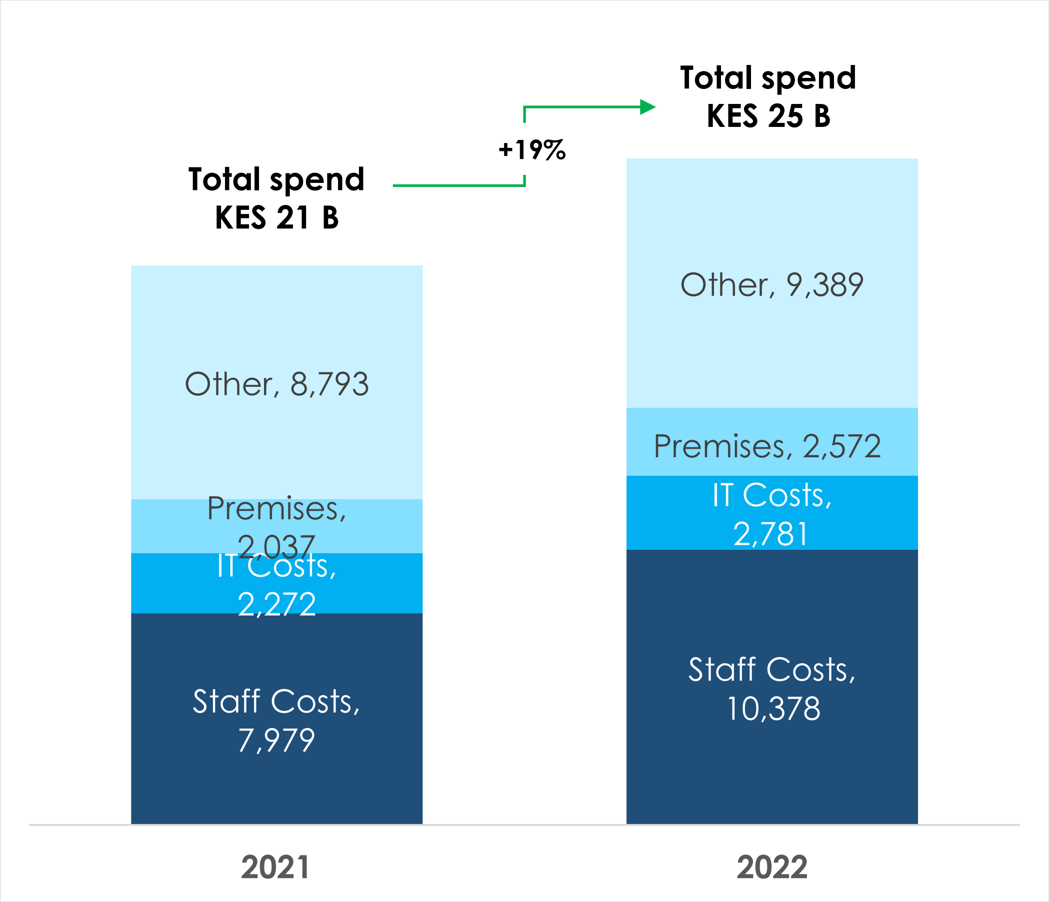




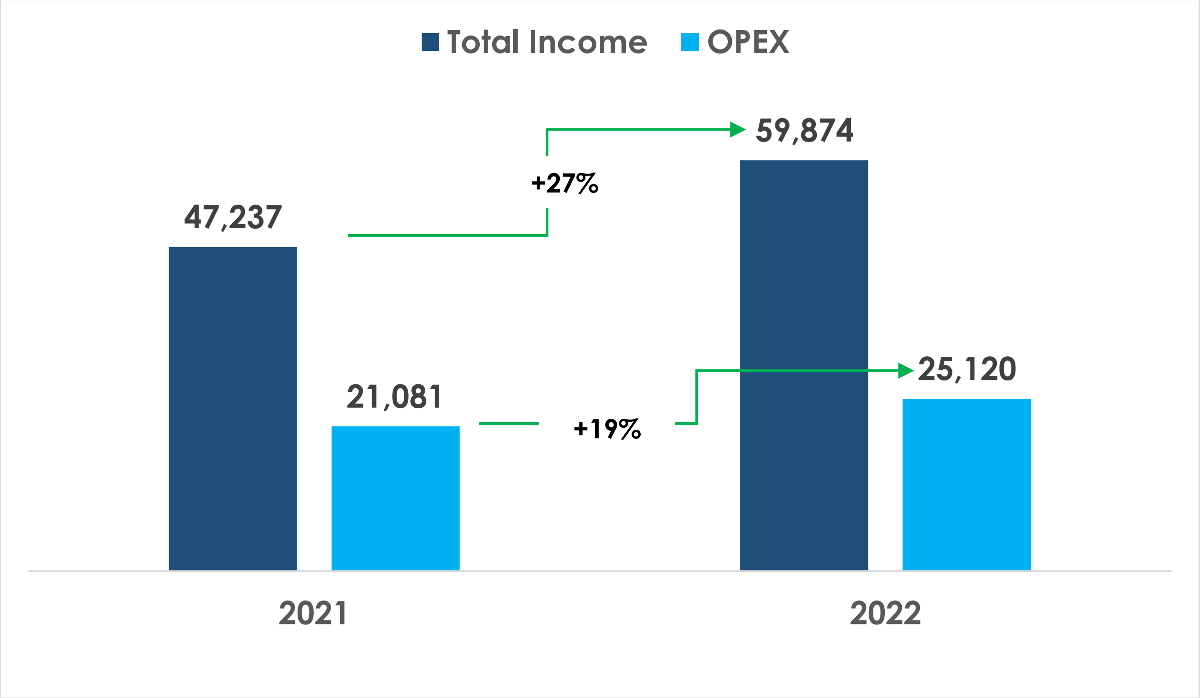
Despite strategic investments and inflationary pressures, we continue to run a highly efficient business, with a CIR of 42%

Amounts in KES M

OPEX Increased by 19% in 2022....



...with better outcomes in a lower CIR



	2021	2022
Cost to Income Ratio	**44.6%**	**42.0%**
Staff cost Intensity (1)	16.9%	17.3%
IT Cost Intensity (2)	10.8%	11.1%

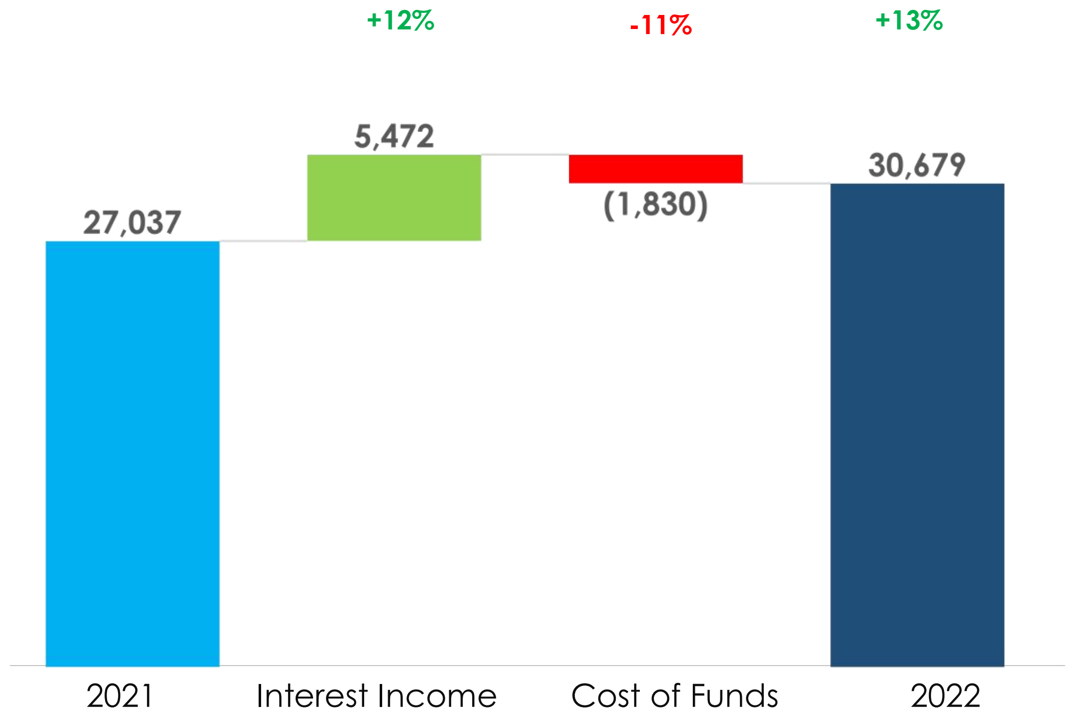
Notes:
1: Staff Cost Intensity calculated as Staff costs vs. Operating Income
2: IT Cost intensity calculated as IT OPEX vs. Operating Income

ncbagroup.com Go for it

The growing lending book and asset allocation enhanced our top line

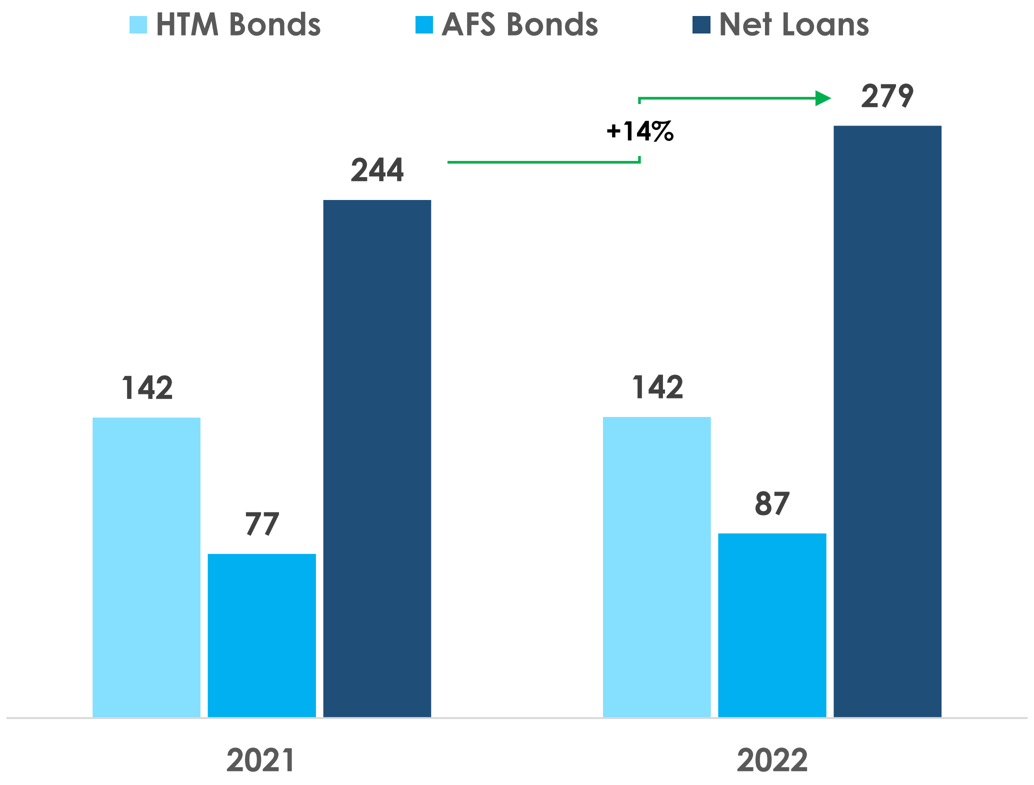
Amounts in KES M

NII driven by asset allocation and capital efficiency…



Amounts in KES B

…in addition to healthy growth across our core assets

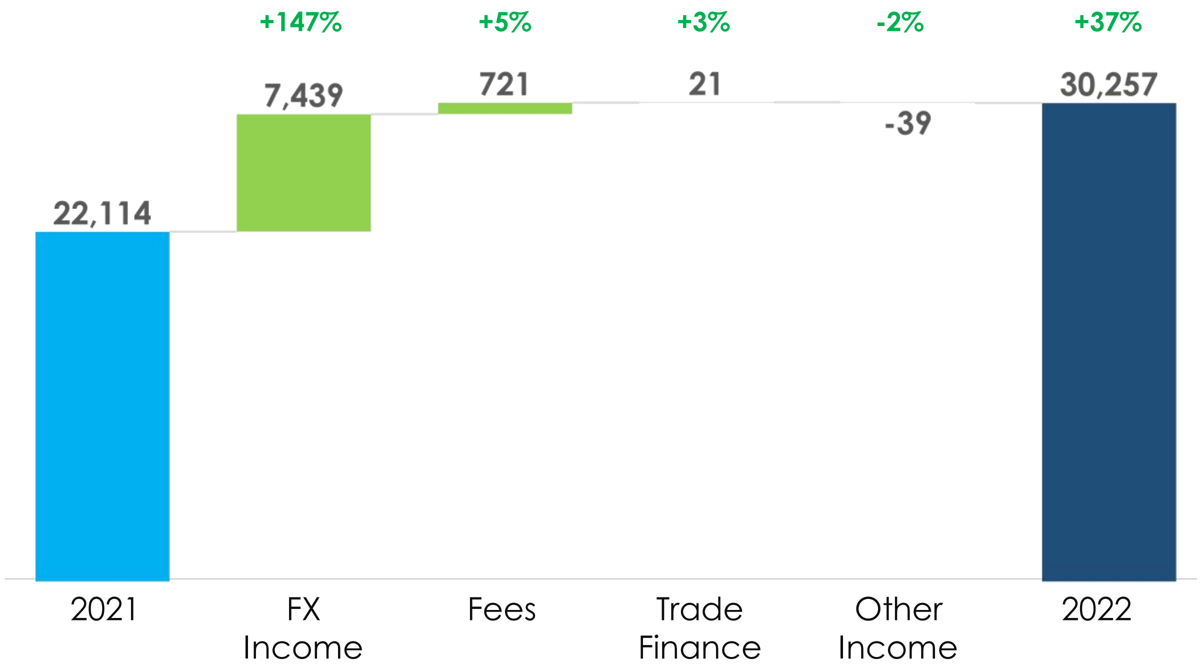


Note:
HTM: Hold to Maturity
AFS: Available for Sale

Our market leading dollar book & currency risk management unlocked strong FX growth in a volatile market environment

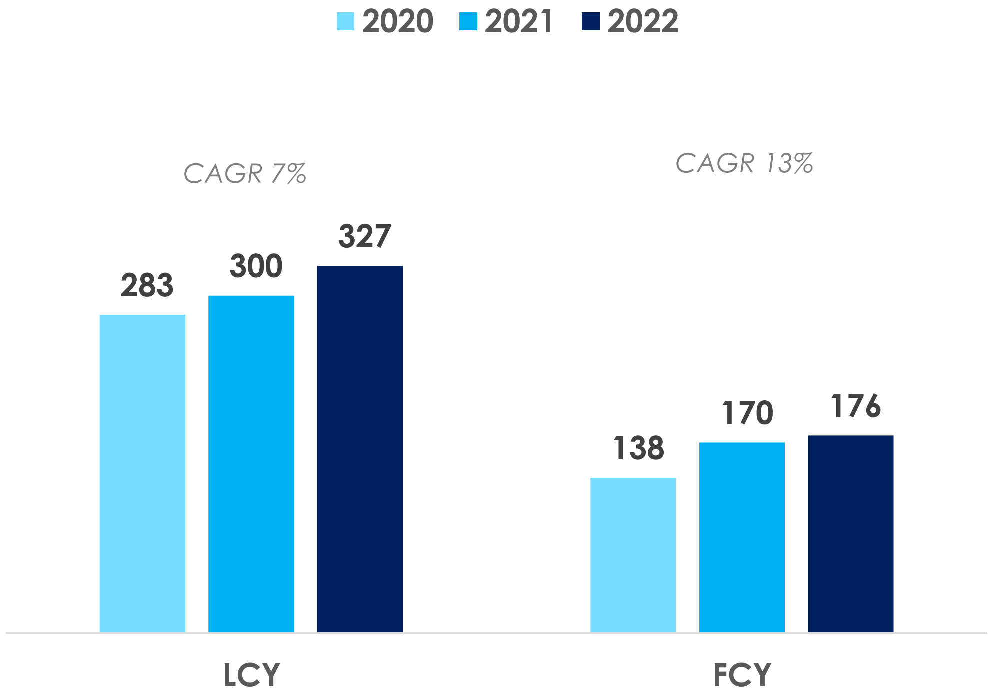
Amounts in KES M

NFI performed strongly driven by FX in addition to strong performance in other lines…



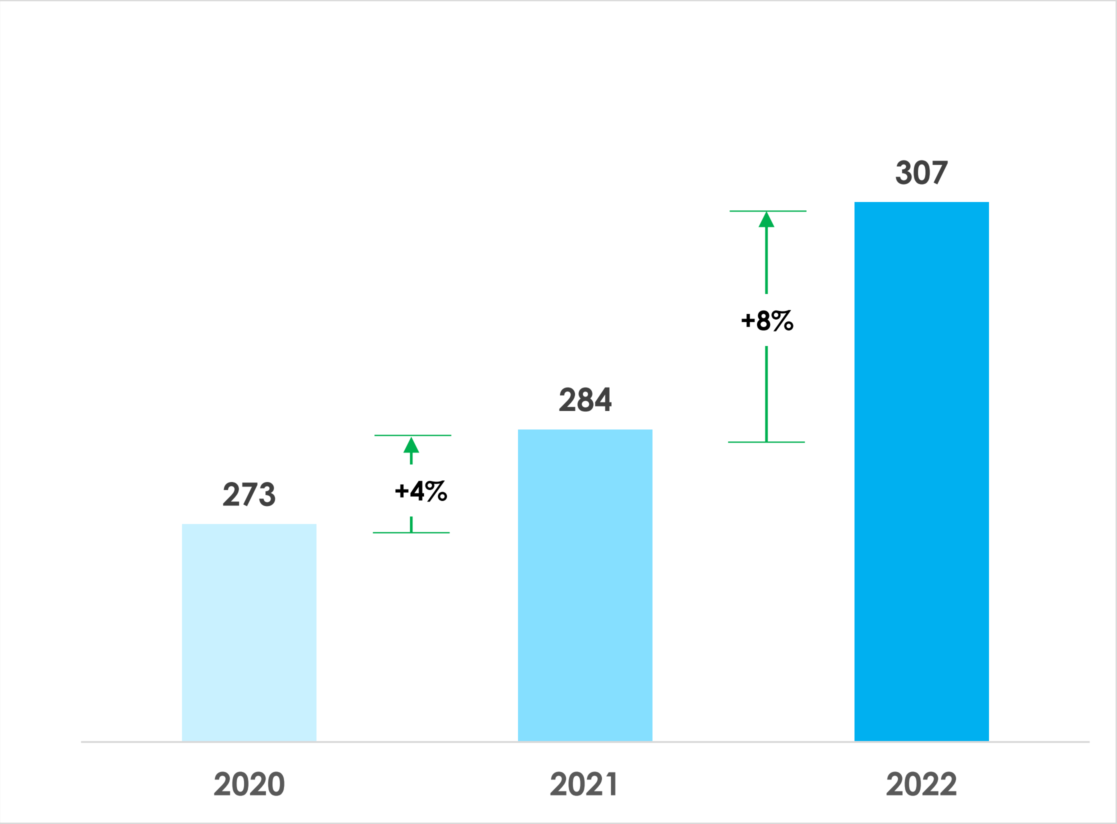
Amounts in KES B

…boosted by our market leading FCY deposit book

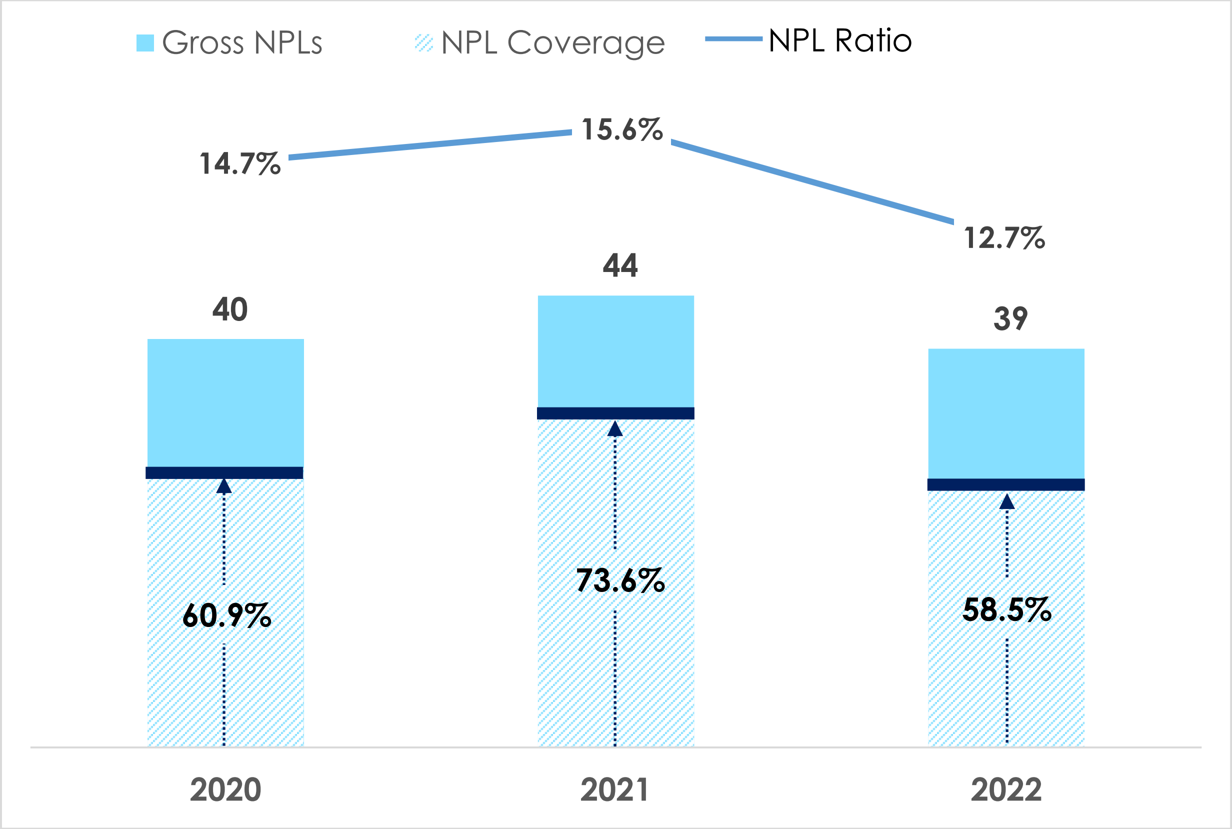


Underpinning our profitability growth is a sustained focus in managing credit risk

NCBA Group Gross Loans accelerated in 2022 (KES B)



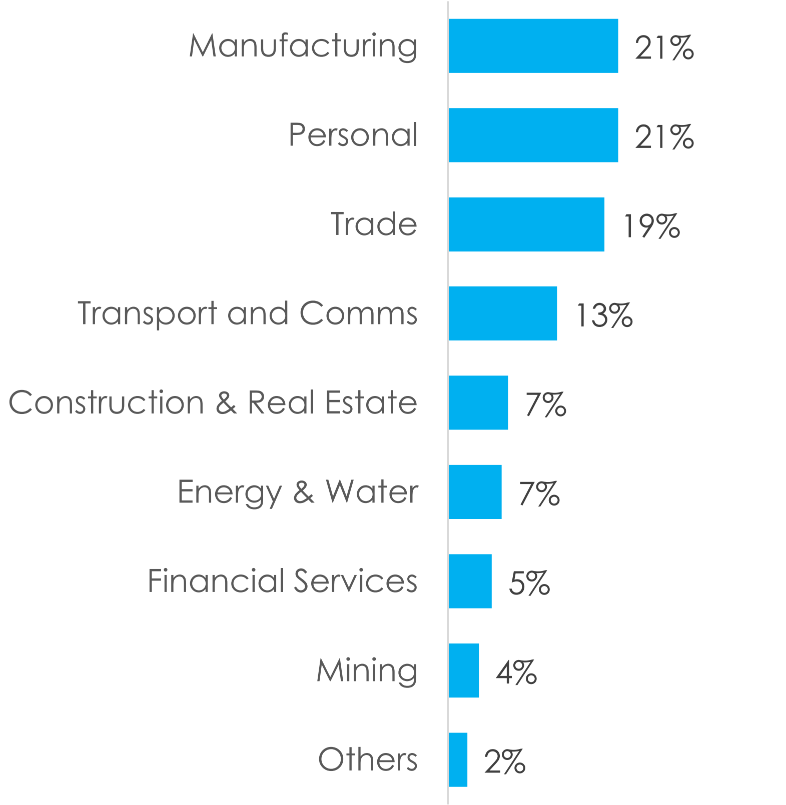
….while our NPL ratio reduced to 12.7% from 15.6%



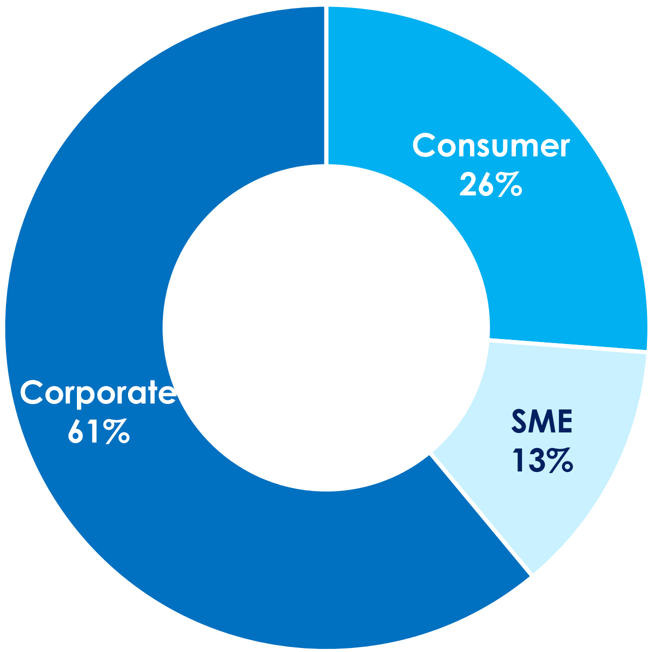
Our loan book is well diversified across product, currency and industry

2022 Loan Book

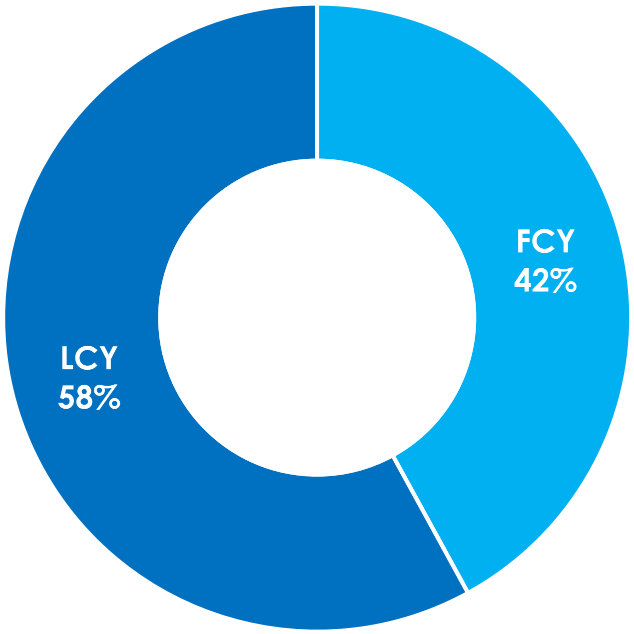
Loan Book by Sector



Loan Book by Segment



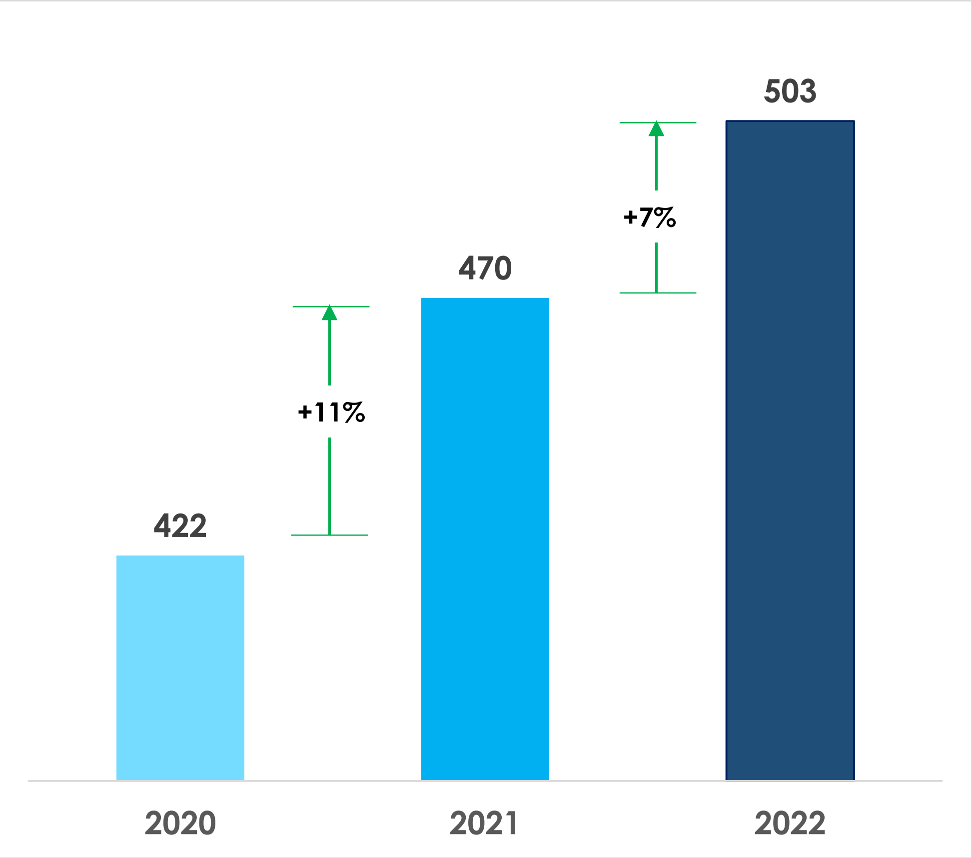
Loan Book by Currency



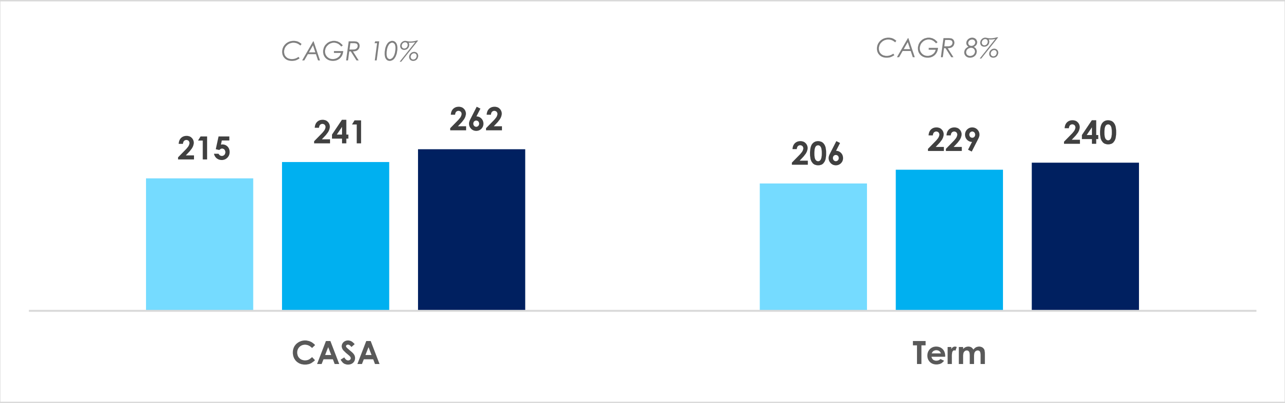
Our increased footprint supported growth in deposit mobilization while also enhancing our funding mix

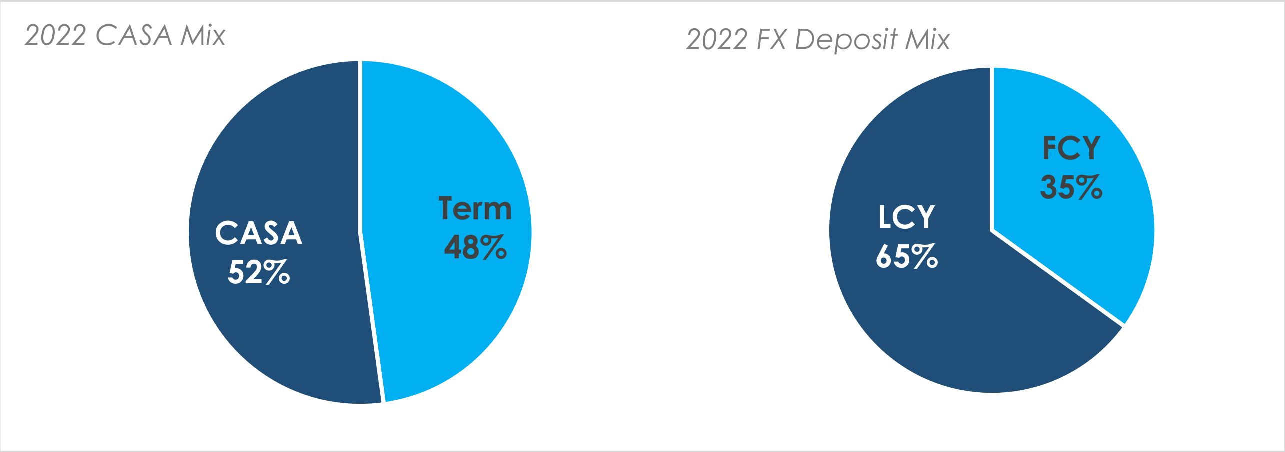
Amounts in KES B

NCBA Group deposit mobilization



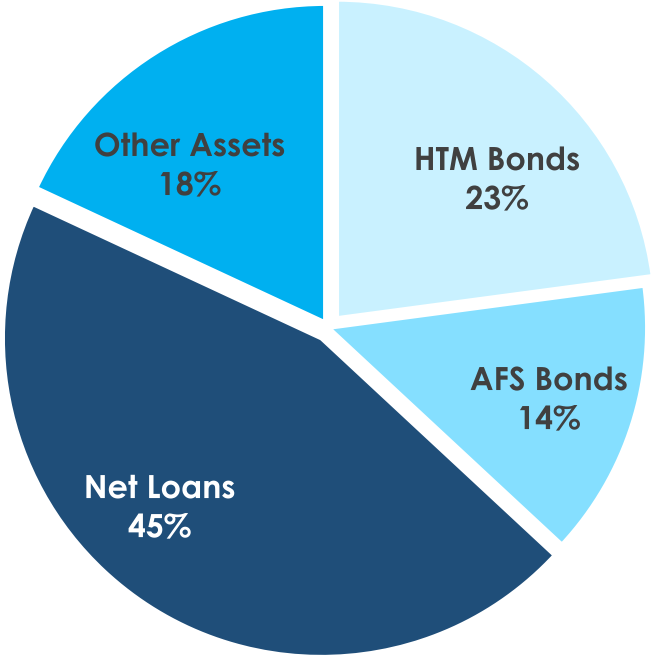
….while increasing our CASA ratio & FX mix





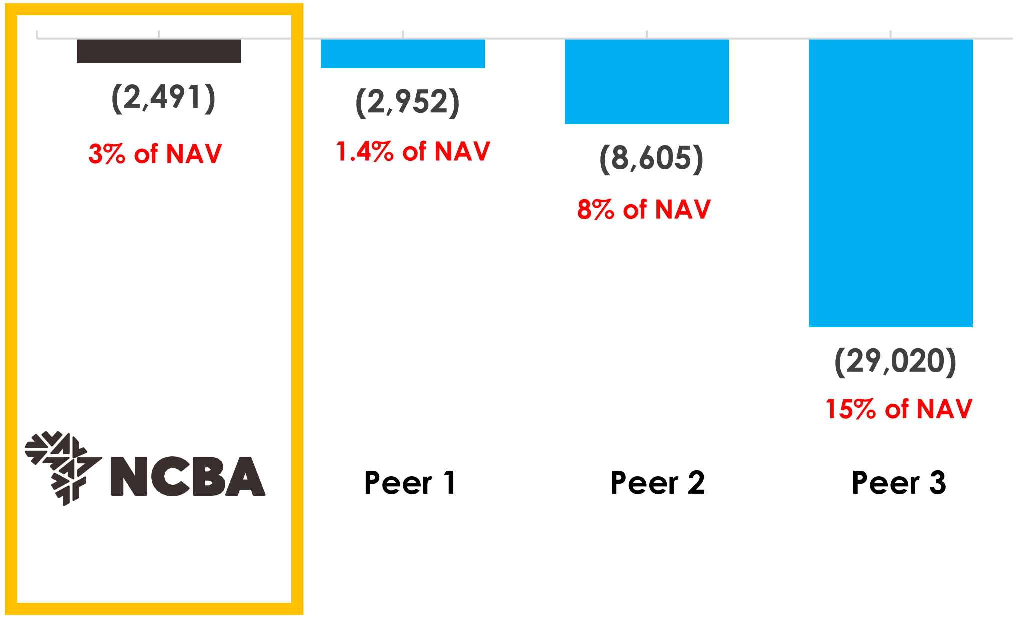
Our approach to investment in government securities effectively balanced return considerations while protecting the bank from mark to market losses

Our asset mix is well diversified with Govt Securities making up 37% of our assets…



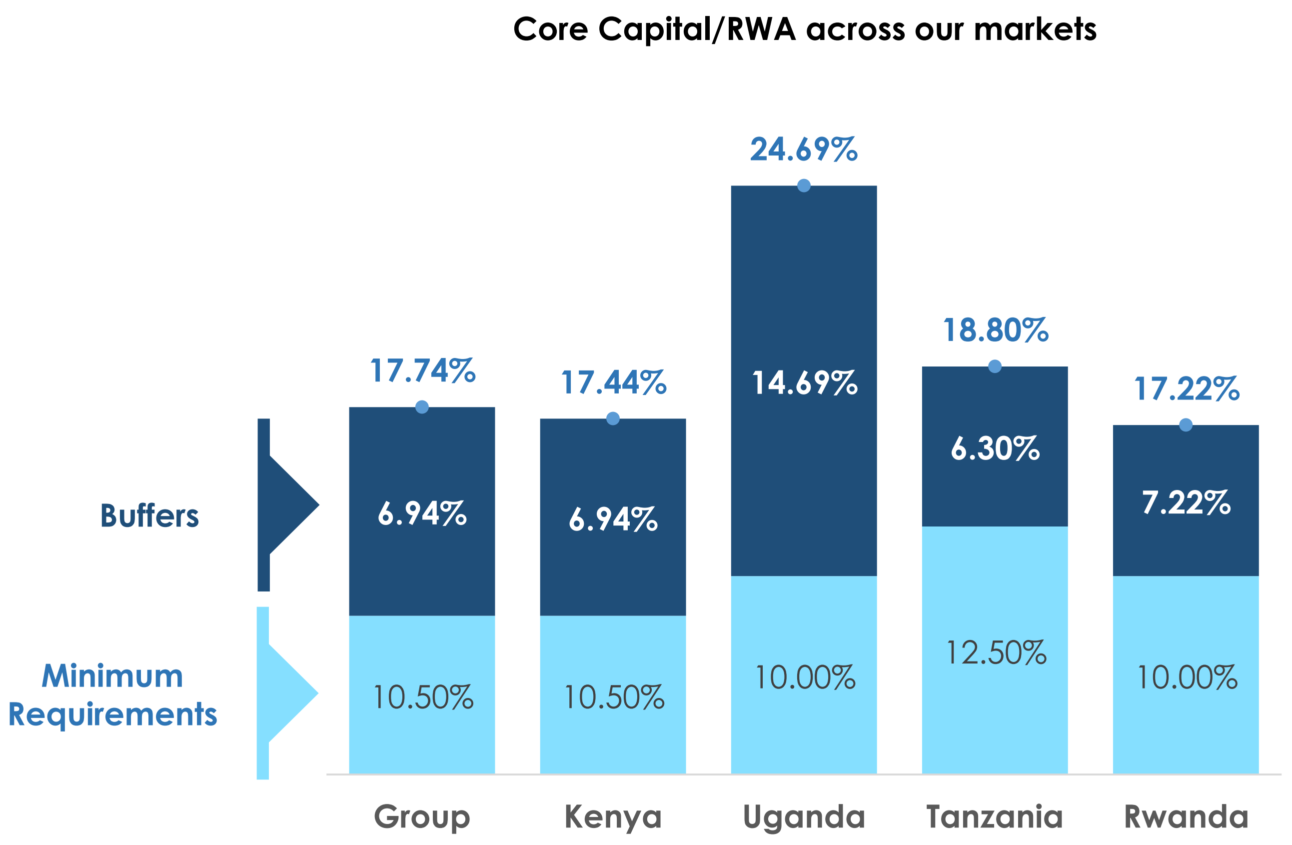
…however our risk management has yielded comparatively reduced fair value impact

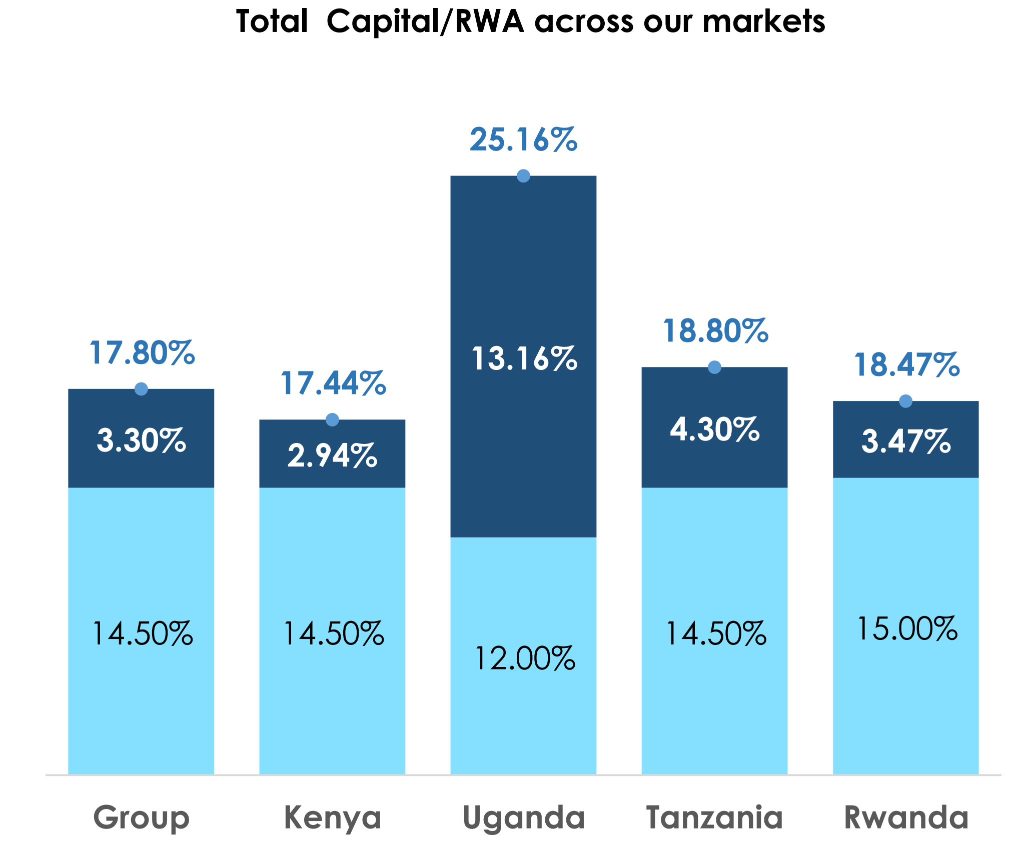
Amounts in KES B



Note:
HTM: Hold to Maturity Bonds (24% in 2021)
AFS: Available for Sale Bonds (13% in 2021)

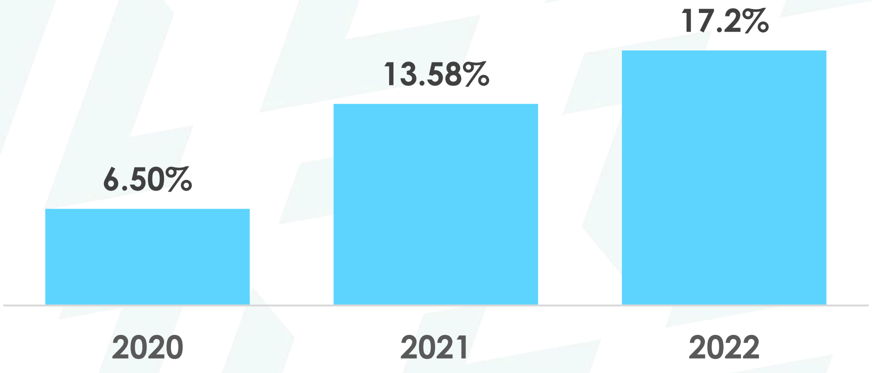
The Group remains effectively capitalized across our core markets providing ample room to invest in growth



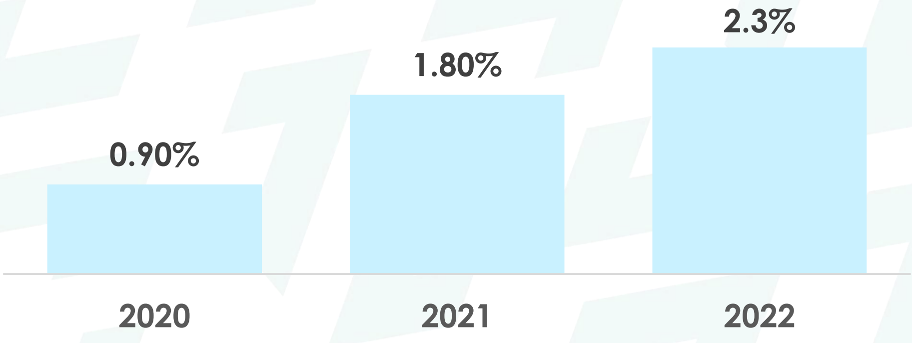


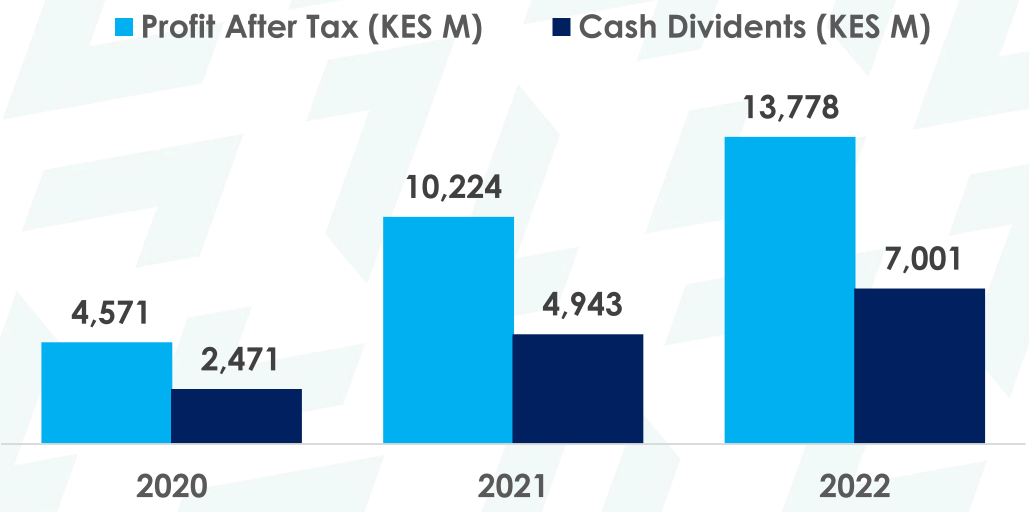
Our strategy is delivering the desired return outcomes for a Tier 1 bank and we are delivering consistent cash returns to our >27,000 shareholders with an average dividend payout of 50% in the last 3 years

We are delivering on post merger promises on ROE



…while matching similar sized peers on ROA





	2020	2021	2022
EPS	2.77	6.21	8.4
Dividend Pay-out Ratio	54%	48%	50.8%
Share Price Change (YoY)	(27.4%)	(5.8%)	56%
Number of issued shares	1,647,520	1,647,520	1,647,520

CONTENTS

We have identified 5 key areas requiring greater attention in 2023

Thematic Area	Objective
Balance Sheet Optimization	• Enhance the value generated from our substantial balance sheet
Customer Growth	• Increase the number of customers we attract and retain across NCBA
Controls	• Embed the right risk culture and routines to secure our business operations • Enhance Credit Risk Monitoring
Subsidiaries Contribution	• Diversify our revenue sources and increase the bottom line contribution of all our business lines
Sustainability	• Define our sustainability agenda and begin to retool our business

Grow Shareholders Returns

NCBA

THANK YOU

2022 Statement of Profit & Loss

Amounts in KES Millions	NCBA Bank Kenya			NCBA Group Consolidated		
	2022	2021	∆%	2022	2021	∆%
Interest Income	46,896	42,196	11%	52,404	46,514	13%
Interest Expenses	(19,469)	(17,621)	10%	(21,726)	(19,477)	12%
Net Interest Income	**27,427**	**24,575**	12%	**30,678**	**27,037**	13%
FX Income	11,905	4,658	>100%	12,496	5,057	>100%
Other Non- Interest Income	5,343	5,305	1%	7,420	6,875	8%
Digital Lending Income	8,785	9,168	(4%)	10,341	10,272	1%
Non – Funded Income	**26,033**	**19,131**	36%	**30,256**	**22,204**	36%
Operating Income	**53,460**	**43,706**	22%	**60,935**	**49,151**	24%
Operating Expenses	(19,878)	(16,574)	20%	(24,859)	(20,733)	20%
Operating Profit	**33,582**	**27,132**	24%	**36,076**	**28,418**	27%
Impairments	(11,020)	(10,312)	7%	(13,063)	(12,717)	3%
Profit Before Tax And Exceptional Items	**22,562**	**16,819**	34%	**23,013**	**15,701**	47%
Exceptional item	(531)	(756)	30%	(724)	(756)	4%
Profit after Exceptional items	**22,031**	**16,063**	37%	**22,492**	**15,034**	50%

2022 Statement of Financial Position

Amounts in KES Millions	NCBA Bank Kenya			NCBA Group Consolidated		
	2022	**2021**	**Δ%**	**2022**	**2021**	**Δ%**
Assets						
Net Loans and Advances	249,899	220,020	14%	278,921	244,038	14%
Investments	211,228	204,884	3%	228.778	218,808	5%
Cash and Balances with Banks	49,753	76,868	(35%)	64,319	88,274	(27%)
Other Assets	56,398	44,962	25%	47,644	39,968	19%
Total Assets	**576,278**	**546,734**	**5%**	**619,662**	**591,088**	**5%**
Liabilities & Equity						
Customer Deposits	458,619	431,214	6%	502,676	469,890	7%
Borrowings	10,811	19,776	(45%)	10,121	20,872	(52%)
Other Liabilities	18,815	17,101	10%	24,443	22,339	9%
Shareholders Equity	79,033	78,643	-	82,422	77,987	6%
Total Liabilities & Equity	**576,278**	**546,734**	**5%**	**619,662**	**591,088**	**5%**

NCBA Bank Kenya delivered the key financial metrics set for FY 2022

	FULL YEAR 2022 TARGET	FULL YEAR 2022 ACHIEVED	
Return on Average Equity	> 15%	17.2%	✓
NPL ratio	< 15%	12.8%	✓
Cost to Income Ratio	40-45%	38.2%	✓
Capital Adequacy (Total)	300Bps	344Bps	✓
Loan to Deposit Ratio	65%	59.2%	✓
Core Bank Cost of Risk	1.5% - 2.0%	2.7%	✗
Liquidity Ratio	~ 60%	55.6%	✓